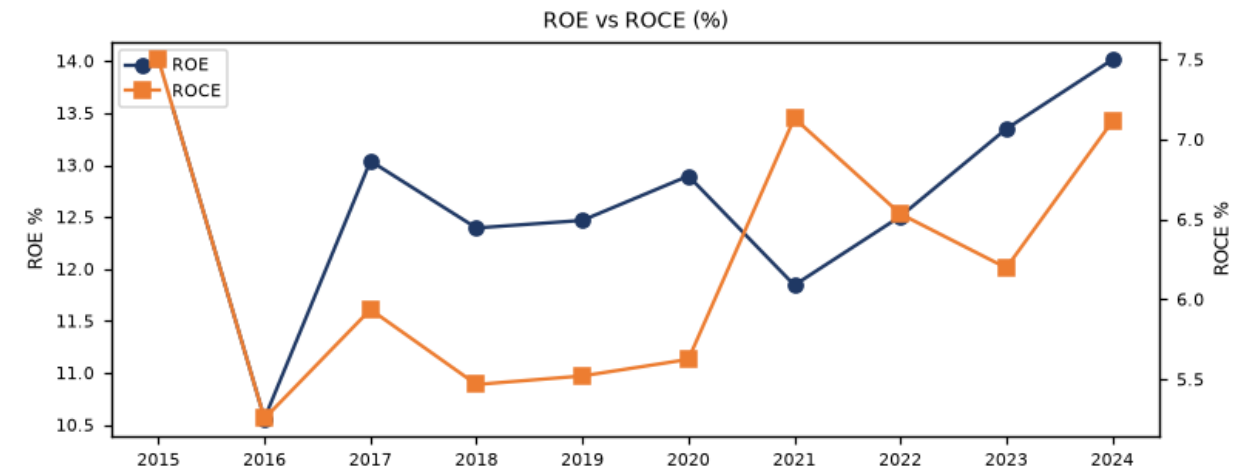
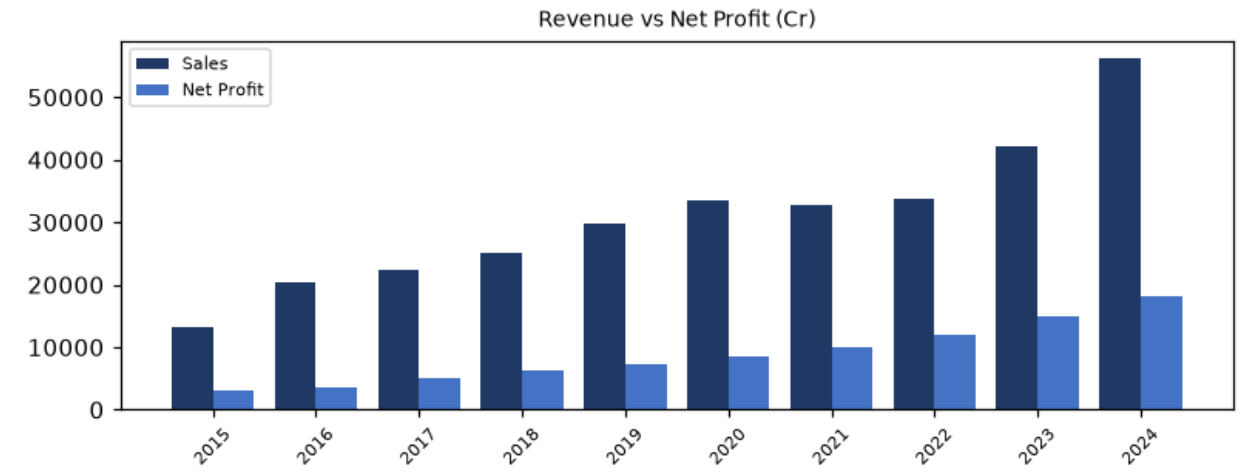


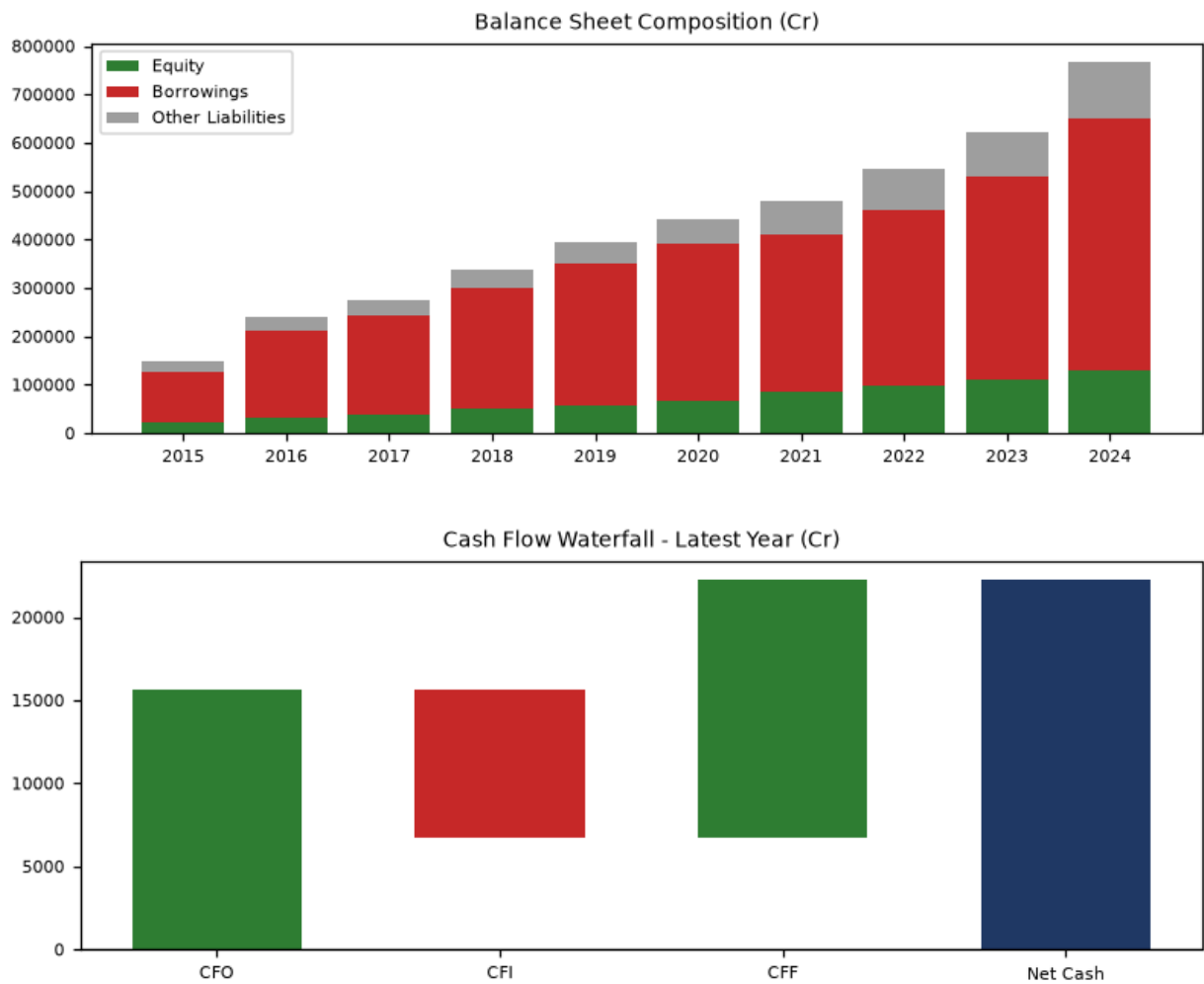
Kotak Mahindra Bank Ltd (KOTAKBANK)

Financials

ROE 14.0%	ROCE 7.1%	Net Margin 32.4%
D/E 4.00	Rev CAGR 5yr 13.5%	FCF (Cr) 6766



Balance Sheet & Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Mixed